

EasyService Financial Feasibility Analysis

Model type: Illustrative pilot planning model, not an audited forecast.

Currency: Ethiopian birr (ETB).

Decision use: Compare pilot economics and identify assumptions that must be validated.

1. Key assumptions

Driver	Year 1	Year 2	Year 3
Completed transactions	2,400	8,000	20,000
Average transaction value	3,000	3,200	3,500
Commission rate	8%	8%	8%
Active subscribing providers	20	60	120
Provider subscription / month	1,000	1,200	1,500
Sponsorship and other revenue	60,000	120,000	240,000

2. Revenue projection

Revenue stream	Year 1	Year 2	Year 3
Transaction commission	576,000	2,048,000	5,600,000
Provider subscriptions	240,000	864,000	2,160,000
Sponsorship and other	60,000	120,000	240,000
Total revenue	**876,000**	**3,032,000**	**8,000,000**

Formula: transaction commission = completed transactions x average transaction value x commission rate.

3. Operating cost projection

Cost category	Year 1	Year 2	Year 3
Engineering and product	1,800,000	2,400,000	3,200,000
Sales and provider onboarding	600,000	900,000	1,300,000
Cloud, tools, and support	480,000	720,000	1,050,000
Legal, compliance, and security	300,000	360,000	500,000
Marketing and research	450,000	650,000	900,000

Total operating cost	**3,630,000**	**5,030,000**	**6,950,000**
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4. Operating result

Metric	Year 1	Year 2	Year 3
Total revenue	876,000	3,032,000	8,000,000
Total operating cost	(3,630,000)	(5,030,000)	(6,950,000)
Operating result	** (2,754,000) **	** (1,998,000) **	** 1,050,000 **

On these conservative assumptions, annual operating profitability begins in Year 3. Monthly break-even depends on the ramp and could occur around month 18-20; this must be recalculated with real salaries, gateway fees, taxes, refunds, and acquisition costs.

5. Sensitivity analysis

Scenario	Main change	Implication
Downside	30% fewer transactions and 2 percentage points lower commission	Break-even moves materially beyond Year 3
Base	Assumptions above	Profitability begins in Year 3
Upside	30% more transactions and 30% more subscriptions	Earlier operating break-even, subject to support capacity

The most sensitive variable is completed transaction volume, followed by commission rate and customer acquisition cost. Registrations without completed transactions do not support the model.

6. Pilot investment envelope

A pilot should be funded as a staged experiment. Release funds in gates tied to provider activation, completed transactions, reconciliation quality, and repeat usage. Do not spend on national scale before the Addis pilot validates supply density and support economics.

7. Missing data to validate

- Actual engineering and support compensation.
- Payment gateway, tax, refund, and settlement costs.
- Customer acquisition cost and conversion rate.
- Provider churn and willingness to pay.
- Average booking value by category.
- Legal, licensing, insurance, and data-protection obligations.
- Cloud cost under expected traffic and media storage.

8. Feasibility conclusion

The concept is **conditionally feasible as a focused Addis Ababa pilot**, not yet proven as a national commercial business. The financial case depends on completing transactions, not catalogue size. Technical hardening, regulated payment integration, and evidence from a real provider/customer pilot are required before committing to full-scale investment.